

Microsoft's stock dropped 55.7% from 2000 through 2002, while Cisco's stock—which had risen roughly 50-fold over the previous six years—lost 76% of its value from 2000 through 2002. As with Texas Instruments, the drop in Cisco's stock price was sharper than the fall in its earnings, which dropped just 39.2% (comparing the three-year average for 1997–1999 against 2000–2002). As always, the hotter they are, the harder they fall.

* “Earnings multiplier” is a synonym for P/E or price/earnings ratios, which measure how much investors are willing to pay for a stock compared to the profitability of the underlying business. (See footnote † on p. 70 in Chapter 3.)

† Investors can now set up their own automated system to monitor the quality of their holdings by using interactive “portfolio trackers” at such websites as www.quicken.com, moneycentral.msn.com, finance.yahoo.com, and www.morningstar.com. Graham would, however, warn against relying exclusively on such a system; you must use your own judgment to supplement the software.

* To update Graham's figures, take each dollar amount in this section and multiply it by five.

* In today's markets, to be considered large, a company should have a total stock value (or “market capitalization”) of at least \$10 billion. According to the online stock screener at <http://screen.yahoo.com/stocks.html>, that gave you roughly 300 stocks to choose from as of early 2003.

¹ Peter Lynch with John Rothchild, *One Up on Wall Street* (Penguin, 1989), p. 23.

² Kevin Landis interview on CNN *In the Money*, November 5, 1999, 11A. M. eastern standard time. If Landis's own record is any indication, focusing on “the things that you know” is not “all you really need to do” to pick stocks successfully. From the end of 1999 through the end of 2002, Landis's fund (full of technology companies that he claimed to know “firsthand” from his base in Silicon Valley) lost 73.2% of its value, an even worse pounding than the average technology fund suffered over that period.

³ Sarah Lichtenstein and Baruch Fischhoff, “Do Those Who Know More Also Know More about How Much They Know?” *Organizational Behavior and Human Performance*, vol. 20, no. 2, December, 1977, pp. 159–183.

⁴ See Gur Huberman, “Familiarity Breeds Investment”; Joshua D. Coval and Tobias J. Moskowitz, “The Geography of Investment”; and Gur Huberman and Paul Sengmuller, “Company Stock in 401(k) Plans,” all available at <http://papers.ssrn.com>.